

A Mandate for Fund Shareholders

John C. Bogle

“T he fault, dear Brutus, is not in our stars, but in ourselves.” So said the protagonist in Shakespeare’s play *Julius Caesar*. . . . [T]he mutual fund industry . . . can be greatly improved and can provide far better opportunities for investors. Positive change will take place, however, only if we lay the responsibility for the industry’s shortcomings not in our stars but in ourselves as shareholders. If enough investors demand a better mutual fund industry, we will have a better mutual fund industry. All you need to do is stand up for your rights as investors.

It may seem difficult for a shareholder with a relatively small investment to advance change. After all, the average investor owns perhaps a \$10,000 holding in a \$500 million mutual fund, or a voting interest of something like 2/1000ths of 1%. But if you believe, as I do, that even one person can make a difference, any change that enough mutual fund shareholders demand will surely come to pass. I am not suggesting that mutual fund shareholders must act in concert with each other. That proposition would take organization, tedium, and patience. Rather, I am suggesting that if all shareholders merely act independently in concert with their own financial needs and best interests, the mutual fund industry will soon improve.